three main areas in which these reforms are taking place (i) it is modernizing its lending and knowledge products and services to better serve its clients and to serve their efforts to reduce poverty better, (ii) improvements in sharing and access to knowledge and expertise both from within and outside is being undertaken and (iii) it is modernizing the processes and systems that underpin the Bank's work.

Since the beginning of operations in 1946 with thirty-eight members, there has been a dramatic change in the number of members and the conditions in the world. As many nations became independent from colonial rule, they gradually joined the institution and subsequently the bank and the development needs of member states expanded. There are five institutions that constitute the World Bank (i) the International Bank for Reconstruction and Development, (ii) International Development Association (iii) International Finance Corperation, (iv) The Multilateral Investment Guarantee Agency and (v) The International Centre for Settlement of Investment Disputes.

**The International Bank for Reconstruction and Development (IBRD):** The main objective of the IBRD is to reduce poverty in middle-income countries and credit worthy low income by promoting sustainable development through loans, guarantees and analytical and advisory services. It was established in 1945 and has 184 members. Its net income and allocable income for the fiscal year in June 2018 amounted to $698 billion.

**The International Development Association:** It supports country-led initiatives for poverty reduction in the poorest countries with interest-free credits and grants with money received from contributions made by members. It was established in the year 1960 and its total commitment amounted to $24 billion in the fiscal year June 2018.

**The International Finance Corporation:** It provides loans to the private sector to promote economic development in developing countries. It was established in 1956 with 176 members and its investments in the year 2018 amounted to $23.3 billion.

**The Multilateral Investment Guarantee Agency:** This agency encourages private companies to invest in developing countries by providing guarantees against such risks as breach of contract, conflict, war and currency inconvertibility. It was established in the year 1988 with 164 members with net business reaching a record high of $5.3 billion.

**The International Centre for Settlement of Investment Disputes:** It encourages foreign investment in developing countries by providing facilities for arbitration of investment disputes. It was established in 1966 with 140 members.

## 11.5 The International Monetary Fund(IMF)




The International Monetary fund or the Fund is the world's largest premier international financial institution. It was conceived at the Bretton Woods conference in 1944 as a global response



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